

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$96.25 ▲ 0.72%	12M Price Target \$115.00	52-Week Range \$63.52 – \$153.86	Market Cap \$86.54B
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HOOD: Crypto Summit at White House Fuels Optimism

WHAT HAPPENED

- Stock up modest 0.72% but the real story is Trump meeting with crypto and prediction market execs — HOOD sits at the intersection of both (they own Bitstamp and have prediction markets via Kalshi partnership). This is the administration signaling more friendly regulation, which directly expands HOOD's addressable market.
- July DATs (daily average revenue trades — basically how many trades customers made per day) came in higher year-over-year per the Zacks note, confirming that user engagement isn't just holding, it's growing even after the huge run this stock has had.

WHY IT MATTERS

Here's what to think about: the options market is flashing bearish (put/call at 0.70 with unusual put buying at \$98 and \$99 strikes) right as the stock trades near \$96 — that tells me big traders are hedging against a near-term pullback, possibly into September expiration. But that's tactical noise. The bigger picture is that a White House crypto meeting + tokenization progress at the SEC + a friendly Republican-led Congress = HOOD's crypto revenue line (which was ~35% of transaction revenue last cycle) has a structural tailwind that didn't exist 18 months ago. The stock is 36% of its 52-week range meaning it's already pulled back from \$153 highs — that's actually healthier setup than buying at the top.

POLICY & POLITICAL WATCH

Three policy threads matter right now: (1) The GENIUS Act and CLARITY Act — stablecoin and crypto market structure bills — either passing gives HOOD legal clarity to expand tokenized stocks and stablecoin products it's already piloting in Europe. (2) SEC tokenization framework is reportedly stalled per the Bloomberg/Motley Fool coverage, which is a near-term headwind because HOOD announced tokenized US equities for EU customers. (3) Prediction markets: CFTC's posture under this administration has been permissive, and if Trump's meeting produces even soft endorsement, HOOD's event contracts business (Super Bowl, elections, Fed decisions) becomes a real revenue line, not a novelty.

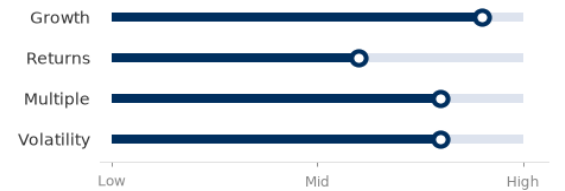
IS IT EXPENSIVE?

At \$96 and roughly \$87B market cap, investors are paying about 21x forward revenue and ~50x forward earnings — that's expensive for a broker (Schwab trades at 15x earnings) but cheap for a fintech growing 30%+ with expanding margins. The justification only works if crypto stays hot AND tokenization actually rolls out AND they keep grabbing share from Schwab/Fidelity in younger demos. If any one of those legs wobbles, the multiple compresses fast — that's why the puts are being bought.

Key Data

Price (USD)	\$96.25
12M Price Target	\$115.00
Upside / (Downside)	+19.5%
Market Cap	\$86.54B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	52.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$108.00	\$98.00	\$85.00
6 Months	\$130.00	\$110.00	\$78.00
1 Year	\$160.00	\$115.00	\$70.00
2 Years	\$200.00	\$140.00	\$60.00
5 Years	\$300.00	\$180.00	\$45.00
10 Years	\$500.00	\$250.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Crypto-adjacent fintech (COIN, HOOD, Bitstamp-linked names) and prediction market plays — all riding regulatory thaw under Trump admin. Digital assets + tokenization = policy tailwind.

COOLING OFF: Traditional asset managers (T. Rowe, Franklin) losing mindshare to platforms that offer crypto + equities in one app; the Zacks piece on TROW using AI is defensive not offensive.

ROTATION WATCH: Money is rotating from legacy brokers into next-gen platforms — HOOD is the primary beneficiary but the trade is crowded, which is why puts are being bought here.

RELATED PLAY: If HOOD's tokenization story works, the picks-and-shovels play is the underlying infrastructure — Securitize (mentioned in CoinDesk as down 26% with 3x upside per one analyst) and Chainlink-adjacent names benefit from every tokenized asset issued.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct beneficiary of the same White House meeting and market structure bills — often leads HOOD by a day or two on crypto policy news.
- IBKR (Interactive Brokers): Grinding higher on rate income and international expansion — the "boring" way to own the trading theme.

HOOD CONTEXT: HOOD is leading its peer group YTD but lagging its own 52-week high by ~37% — that gap closes if crypto legislation actually lands. It's the highest-beta way to play the retail trading + crypto policy trade.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Bullish on the story but respectful of the bearish options flow signaling near-term downside; I'd rather buy the dip than chase here.

POSITION SIZE: 3-5% of portfolio — real upside but this stock can drop 20% in a week on crypto weakness, so size it like the volatile name it is.

ENTRY POINTS: \$88-92 on any macro-driven pullback; the \$98 put wall suggests we might get there in September.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is crypto market structure legislation (GENIUS/CLARITY Acts) passing, which unlocks the tokenization revenue story.

WHEN TO BAIL: If DATs decline for two consecutive quarters, or if Bitcoin breaks below \$80K signaling a real crypto bear market, I'm trimming aggressively.

HEDGING: Simplest hedge — buy a September \$90 put as insurance; costs a little but caps your downside if the bearish options flow is right about a pullback.